Analyst Reflection Report

Delta Air Lines (DAL) vs. Frontier Group Holdings (ULCC) | Financial statements through Q2 2026

1 | HOW I USED GENERATIVE AI

I used a general-purpose generative AI assistant throughout the development of my investor report. It helped me narrow the investment question, identify relevant measures, organize publicly reported financial information, perform preliminary calculations, consider competing interpretations, and develop drafts of the report. I selected Delta and Frontier because I wanted to compare a traditional network airline with an ultra-low-cost carrier, not merely two similarly structured competitors. I also made the decision to hold the financial reporting cutoff at June 30, 2026 rather than incorporate subsequent quarterly earnings midway through the project.

The AI made research and drafting more efficient, but I did not treat its output as an authoritative financial source. The finished report required decisions about what was actually comparable, what the figures meant, and how confident the resulting recommendation should be. The AI was useful as a collaborator to question and revise; it was not a substitute for the SEC filings or my judgment.

2 | WHERE I PUSHED BACK

My most important objection concerned the way the initial report compared companies that operate fundamentally different businesses. Delta offers extensive network connectivity, premium service and loyalty-related revenue. Frontier emphasizes low base fares, ancillary charges and a largely leased fleet. A perfectly direct apples-to-apples comparison is therefore impossible in some areas and would sometimes be misleading.

However, that difference does not excuse presenting figures without common context. The first draft sometimes juxtaposed large absolute amounts, such as Delta's $4.027 billion in first-half operating cash flow and Frontier's $191 million, even though Delta is far larger. I challenged the approach: the figures may be correct, but they do not alone indicate relative performance. I asked for apples-to-apples presentation wherever feasible, while preserving clear explanations of differences that could not be normalized away.

That distinction became the organizing principle of my revisions: **use common measurements to inform judgment, but do not mistake common measurements for equivalent businesses.**

3 | HOW I IMPROVED THE WORK

I directed substantive revisions rather than simply polishing language. We introduced operating and net profit margins to evaluate profitability relative to revenue; operating cash flow as a percentage of revenue to reduce size distortion; and matched first-half 2025 and 2026 periods to limit seasonality effects. For valuation, we moved from comparing October 2026 stock values with only full-year 2025 sales to using trailing-twelve-month sales through June 2026. We also presented conventional equity price-to-sales alongside a simplified lease-inclusive enterprise-value-to-sales measure.

These revisions did not make the companies directly equivalent. CASM and RASM remain affected by route length, passenger mix, service levels and the scope of reported businesses. Similarly, simple free cash flow is affected by whether aircraft are purchased or leased, and enterprise value is only an approximation when different obligations are combined. The final presentation therefore uses normalized ratios and explicit caveats together. I also preferred the original report's clearer executive summary and asked that the more rigorous comparison be integrated into that layout rather than sacrificing readability.

4 | WHAT I INDEPENDENTLY VERIFIED

I consulted the airlines' June 30, 2026 Form 10-Q financial statements to check key figures that the AI had summarized. From Delta's filing, I located first-half net income of $1.315 billion, operating income of $2.365 billion and operating cash flow of $4.027 billion. From Frontier's filing, I located a $362 million net loss, a $380 million operating loss and $191 million of operating cash flow. I also checked cash and stockholders' equity amounts: Delta reported $4.665 billion of cash and $21.815 billion of equity, while Frontier reported $955 million and $136 million, respectively.

My first extraction of some balance-sheet liabilities did not reconcile with the AI summary. On review, the issue was that financial statements distinguish current amounts from non-current amounts, whereas the analytical comparison used their combined totals. For example, Frontier's $752 million current operating lease liability was not its total lease obligation; the analysis also needed the $3.984 billion non-current portion. Checking the underlying labels prevented a materially understated lease comparison. This experience made me more careful about both the source and the definition of a financial number, rather than accepting a matching-looking figure.

5 | AI WEAKNESSES I ENCOUNTERED

The most important weakness was not a simple arithmetic mistake but an analytical one: the AI could produce plausible tables without first establishing whether the measures supported a fair comparison. The original use of absolute earnings, cash flow and equity tended to favor the much larger airline. Replacing dollars with ratios helped, but even those ratios required business-model context. I recognized the problem when reviewing the draft as an investment comparison rather than merely as a collection of correct statistics.

A second weakness was how easily a seemingly favorable metric could be overinterpreted. Frontier's positive operating cash flow, despite its net loss, required examination of changes in liabilities. Its low share-price-to-sales multiple also looked different once large aircraft operating lease obligations were considered. The AI initially made the conclusions sound more settled than these qualifications permitted. We mitigated that by investigating the statement components, retaining both perspectives, and limiting our recommendation to a relative preference instead of declaring an intrinsic fair value.

A third weakness was presentation quality. The analytically revised draft was less readable than the first, including awkward unit formatting and a less intuitive opening summary. I asked to combine the original's stronger visual flow with the revised analysis. That correction improved communication, but the deeper lesson was that AI output still needed both financial review and editorial judgment.

6 | WHERE MY THINKING CHANGED

My investment opinion did not need to reverse for my analytical approach to change. At the outset, contrasting a major carrier and an ultra-low-cost carrier seemed like a straightforward way to test which business model offered an investment advantage. Working through the numbers showed me that the better question was how each model translated its own revenue and cost structure into sustainable profitability and shareholder value.

I came to distinguish three questions more carefully: which airline operates at lower unit cost, which airline is financially stronger, and which stock is more attractive at its price. Those are not interchangeable. I also refined my understanding of apples-to-apples analysis: it is necessary to normalize comparisons where possible, but not appropriate to erase structural differences merely to make a table look uniform.

7 | WHAT REMAINS UNCERTAIN

I am least confident about the forward-looking valuation of Frontier's turnaround. Historical losses, lease commitments and recent restructuring costs are observable, but their implications for future profitability depend on management execution, demand, fares, fuel costs and the durability of cost reductions. Delta's earnings also remain exposed to economic cycles, and a stronger company can still be a poor investment if its stock price is too high.

The report intentionally stops at Q2 2026 financial statements and does not include a detailed discounted-cash-flow or forward earnings model. This keeps the companies on a consistent reporting basis, but limits any claim about intrinsic value. To improve confidence, I would examine several additional quarters of comparable performance, model scenarios for Frontier's unit revenue and recurring expenses, and test both companies' valuations against realistic cash-flow forecasts. I would also investigate lease-adjusted credit metrics and the comparability of company-specific adjusted earnings in more detail.

8 | WOULD I STAND BEHIND THE REPORT?

I would put my name behind the report as a **preliminary, relative investment assessment**, with the limitations stated. Based on the financial periods examined, I favor Delta over Frontier for an investor who prioritizes demonstrated profitability and financial resilience. Delta's advantage is not that it has the most revenue or the largest balance sheet; it is that, after using more comparable financial measures and considering Frontier's lease-heavy structure, the evidence still supports a stronger current risk profile.

I would not present the report to an investment committee as a definitive instruction to purchase Delta at any price. Neither company's intrinsic value has been established, and Frontier could outperform if its turnaround succeeds. I would defend the methodology, verified historical evidence and qualified preference, but I would request additional forward-looking valuation work before recommending a substantial capital commitment.

Overall, the most valuable lesson was that a financial analysis can contain accurate numbers and still need meaningful correction. My responsibility as the analyst was to determine which comparisons were fair, identify where they were not, and make the recommendation no stronger than the evidence supports.